MBA SESSION · FINANCE AND ACCOUNTING · 2 HOURS

Accounting Standards in a Global Economy



Evolution and internationalization of IFRS, US GAAP and Ind AS

For future finance managers, investment managers and CFOs

Srikanth Potharla

M.Com., M.Phil., FCMA., UGC-NET., Ph.D.

ICFAI Business School, Hyderabad

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Ten colour-coded sections answer one question each

S1	**Foundations**	Why do financial statements and standards exist?	4–8	8 min
S2	**Evolution**	How did national rules become IFRS, ISSB and IFRS 18?	9–16	14 min
S3	**Governance**	Who writes, legislates and enforces: IASB, FASB, SEC, EU, UK, India?	17–28	20 min
S4	**Comparison**	How do IFRS, US GAAP and Ind AS differ where it matters?	29–36	14 min
S5	**Country routes**	Adopt, endorse, converge or retain: who does what today?	37–44	12 min
S6	**Motives**	Why internationalize, why resist, and why does the US keep US GAAP?	45–49	10 min
S7	**Implications**	Benefits, limits, implementation and what finance leaders should do	50–55	8 min
S8	**Sustainability**	Is ISSB the next IFRS?	56–58	4 min
S9	**Application**	Volkswagen and Ford, IndiGo, Tesla, discussion and takeaways	59–63	6 min
S10	**Wrap-up**	Caveats and the full reference list	64–67	4 min

About 100 minutes of presentation plus about 20 minutes of discussion built into the prompts on slides 8, 59–62.

By the end you can read, compare and classify any reporting framework

Learning outcomes

1. Explain why standards exist and how milestones led to today's mix of IFRS, US GAAP and Ind AS.

2. Name who sets, legislates and enforces standards in the IFRS system, the US, the EU, the UK and India.

3. Compare the frameworks on the differences that change reported numbers and ratios.

4. Classify a country as adopting, endorsing, converging or retaining, and explain the motives.

5. Adjust and interpret statements across frameworks as a finance manager, investor or CFO.

Reading guide

Colour means section. The top bar, label and footer repeat the section colour, so you always know where you are.

[n] means a numbered reference listed on slides 65–67. Statements without a number are standard concepts in accounting and finance.

"As of" dates mark current-status facts. They show the date checked (9 October 2026) and, where older, the date of the underlying source.

Capital markets need credible information, and financial statements supply it

BEFORE INVESTING

Information gap

Sellers of securities know their prospects better than buyers. If buyers cannot separate strong firms from weak ones, they offer a low price, strong firms stay away and the market thins out [1].

AFTER INVESTING

Monitoring gap

Managers act for owners but have interests of their own. Owners bear monitoring costs, and some loss remains, so credible reports become a low-cost way to hold managers to account [68].

What the main statements show

Balance sheet: resources and claims at a date: assets, liabilities and equity.

Income statement: revenues less expenses over a period.

Cash flow statement: cash received and paid, split by operating, investing and financing activity.

Why accruals, and why standards

Accruals recognise revenue and cost in the period they are earned or incurred, so profit tracks performance better than cash receipts alone.

Accruals call for estimates, so shared rules are needed. Standards make reports credible and comparable.

Sources: [1] [68]

Reported numbers pass through rules, estimates and choices before investors see them

Reported number → **Economic event** + **Rules and estimates** + **Management choices**

Where numbers can drift from performance

Estimates: useful lives, expected credit losses, provisions.

Incentives: earnings targets, pay plans and loan terms can push managers towards particular outcomes.

The rules themselves: some items are recorded and others are not, and different assets use different measurement bases.

Quality-of-earnings checks

1. Cash against profit: does operating cash flow follow earnings over time?

2. Accruals and working capital: are receivables or inventories growing faster than sales?

3. One-offs: are "exceptional" items really recurring, and are policies stable year to year?

Warning sign: adjusted performance measures are now widespread among listed firms. They can inform or mislead, which is why regulators require a reconciliation to the reported figure [54].

Sources: [54]

Standards decide what is recognised, how it is measured and what is disclosed

1 · RECOGNITION

Does the item enter the statements at all? IFRS capitalises development costs once criteria are met, while US GAAP generally expenses them [52].

2 · MEASUREMENT

At what amount? Cost, revalued amount, fair value or recoverable amount, depending on the asset and the framework [49].

3 · DISCLOSURE

What must the notes say so users can judge the estimates and the risks?

Conceptual framework

The IASB framework defines assets, liabilities, equity, income and expenses, and sets recognition and measurement concepts [66]. FASB has its own Concepts Statement 8 [53].

Usefulness rests on relevance and faithful representation, supported by comparability, verifiability, timeliness and understandability [66].

The standing trade-off

Relevance (helps predict or confirm outcomes) pulls against **verifiability** (can be checked and is free from material error).

Capitalising development costs gives a more relevant asset base but needs judgment on future benefits. Expensing them is easier to verify but may omit value [52].

Sources: [49] [52] [53] [66]

Financing, law, tax, profession and culture explain why national accounting differs

Financing system

Equity-market systems stress reporting to outside shareholders. Bank-based systems stress creditor protection and prudence [56].

Law and tax

Code-law countries often write accounting into statute. Where tax follows the books, accounting rules are slow to change [56].

Listing venues

Exchanges and securities regulators decide which standards listed firms follow. The SEC accepts IFRS from foreign issuers [4].

Profession

A strong profession shapes rules through standard-setting bodies, training and advice.

Culture

Cultural values, such as attitudes to uncertainty, influence how secretive or conservative reporting is [55].

Practical consequence: check the audit report first

Every listed company states its framework. **Wipro** (20-F, FY2007) used US GAAP [59]. **Tata Motors** (20-F, FY2009) used IFRS [60]. **Volkswagen** reports under IFRS [61]. **Ford** reports under US GAAP [62]. The same business can show different numbers under each.

Sources: [4] [55] [56] [59] [60] [61] [62]

Cross-listing showed that profit depends on whose rules apply

Where Indian companies listed in the US filed

Wipro, FY2007
Form 20-F prepared under US GAAP [59]

Tata Motors, FY2009
Form 20-F prepared under IFRS [60]

Home reporting
Local standards under company law

A company that lists in another country must report in a way that country's regulator accepts. Before 2007, a US listing meant US GAAP or a reconciliation to it.

Preparing more than one set of numbers is costly, and the profit under each set can differ even though the business and year are the same.

The obvious fix was common international rules. But governments did not want to hand over authority, and business practices differed. That tension drives the rest of this session.

Discussion : If one company reports different profits under two rule sets, which would you use to value it, and what would you ask the CFO?

Sources: [59] [60]

Standards began as investor protection after speculation and opaque books

No required standards at first. Small owner-managed firms kept books as they saw fit; the main audience was the tax collector.

Outsiders arrived. As firms grew, shareholders and lenders had to rely on figures compiled by the people they were funding.

Speculation exposed the gap. The South Sea collapse of 1720 became the classic warning about share prices running ahead of reliable information.

Response. Company law moved step by step towards registration, limited liability and disclosure, but each country moved on its own.

UK company law milestones [65]

1720	**South Sea collapse**	Speculation without reliable reporting
1844	**Joint Stock Companies Act**	Registration of joint-stock companies
1855	**Limited Liability Act**	Shareholders' losses capped at their investment
1862	**Companies Act**	Consolidated company law for registered companies

Sources: [65]

National rules grew up separately, shaped by local law, politics and the profession

Who wrote the rules

Depending on the country, rules came from professional bodies, company law, tax authorities or stock exchanges, and national politics shaped their content [56].

As large companies spread, accounting gained weight in industrial economies, and each country built its own conventions around its own law and finance.

Whose interests counted

Each setter balanced preparers, investors, lenders and government, and the balance of power differed by country.

Result: standards worked inside borders and carried little force abroad. That was tolerable while capital markets were mostly national.

US formalisation [34][19]

1933 Act: public offerings need registration with financial statements certified by independent accountants.

1934 Act: created the SEC and periodic reporting.

1973 and 2003: the SEC recognised FASB standards as authoritative, then reaffirmed this under Sarbanes-Oxley.

Sources: [19] [34] [56]

1973: nine professional bodies founded the IASC in London to harmonise

Australia | Canada | France | Germany | Mexico | Netherlands | UK and Ireland | Japan | United States

What it was

A private body created by professional accountancy bodies, not by governments. Its aim was to narrow differences in how profit was measured [15].

Cross-border trade and investment were growing while neighbouring countries still accounted differently.

It was based in London, a leading financial centre with long-established accounting bodies.

What it did, and its limit

With modest funding and no power to compel, it mostly codified existing national practice, often permitting alternatives [15].

It issued its first International Accounting Standards from 1975 and built up a set of IASs, many still in force today [15].

Limit: it depended on member bodies to promote its standards. Wider use needed independence, resources and regulator support.

Sources: [15]

1995 to 2001: from committee to an independent, better-funded board

1995

IASC and IOSCO agree a work programme of core standards [15]

2000

IOSCO endorses the core standards; restructuring begins [15]

Jan 2001

The IASB replaces the IASC, with more funding and a new structure

2001 on

First IFRS: IFRS 1 on first-time adoption, then IFRS 2 on share-based payment

Why the change mattered

A board with its own staff and funding can write new standards, rather than only reconcile national practice [43].

IFRS 1 set rules for first-time adopters, signalling that the IASB expected countries to move to IFRS [43].

IAS and IFRS now coexist

Existing IASs stayed in force, so both names apply today: for example IAS 2 Inventories alongside IFRS 15 Revenue [38].

IFRIC interpretations are part of IFRS and are applied like standards [43].

Sources: [15] [38] [43]

2002 to 2008: Europe mandated IFRS while the US and IASB promised convergence

When	What happened	Why it mattered
Jul 2002	EU IAS Regulation: listed groups' consolidated accounts follow endorsed IFRS from 2005 [17]	Largest single mandate
Jul 2002	Sarbanes-Oxley after the accounting scandals; PCAOB created [34]	Trust rebuilt in the US
Sep 2002	Norwalk Agreement: FASB and IASB commit to compatible standards [35]	Start of convergence
2005	Australia adopts IFRS on 1 January [9]	Early non-EU adopter
Feb 2006	FASB-IASB Memorandum of Understanding with milestones to 2008 [36]	Joint projects on leases, revenue, instruments
2007	SEC lets foreign private issuers file IFRS without reconciling to US GAAP [4][21]	IFRS accepted in US markets
2008 to 2009	Financial crisis: G20 leaders call for a single set of high-quality global standards [3]	Pressure on both boards

Sources: [3] [4] [9] [17] [21] [34] [35] [36]

2009 to 2018: convergence produced joint standards, but not identical ones

The G20 pledged a single set of global standards in 2009 [3]. The boards then issued three major standards, and each still differs in detail.

Revenue · May 2014 [38]

IFRS 15 and ASC 606: a common five-step model that recognises revenue as performance obligations are satisfied. Application still needs judgment.

Instruments · Jul 2014 [40]

IFRS 9 uses staged expected credit losses. US GAAP chose its own CECL model [67], and requires fair-value changes on most equity investments in net income; IFRS 9 allows a selection [40].

Leases · Jan 2016 [39]

IFRS 16 and ASC 842 put leases on the balance sheet, but ASC 842 keeps an operating-lease expense pattern that IFRS 16 does not [39].

US direction. The SEC's 2012 staff report did not recommend switching US issuers to IFRS [20]. On financial instruments the boards ended with separate models: FASB went its own way on credit losses and equity investments [67].

Sources: [3] [20] [38] [39] [40] [67]

2019 to 2026: new standards, a sustainability remit and funding pressure

Date	Development	Reference
1 Jan 2019	IFRS 16 Leases effective: lessees recognise right-of-use assets and lease liabilities	[39]
2021	ISSB created alongside the IASB to set sustainability disclosure standards	[2]
1 Jan 2023	IFRS 17 Insurance Contracts effective (issued May 2017)	[41]
Jun 2023	IFRS S1 and S2 issued: general sustainability and climate disclosures	[42]
Dec 2023	FASB ASU 2023-08: certain crypto assets at fair value through profit or loss	[48]
Apr 2024	IFRS 18 issued; effective for years beginning on or after 1 January 2027	[12]
Sep 2025	SEC Chair flags a possible review of the 2007 reconciliation relief, citing IASB funding	[21][22]

Watch list: IFRS 18 from 2027 [12], any SEC decision on IFRS filings by foreign issuers [21], and national adoption of ISSB Standards [44].

Sources: [2] [12] [21] [22] [39] [41] [42] [48]

Ten milestones to remember

Year	Milestone	Why it matters
1720	South Sea Bubble	Speculation without reliable reporting
1844–62	UK company law reforms [65]	Registration and limited liability for outside investors
1933–34	US Securities Acts [34]	Mandatory disclosure; SEC created
1973	IASC formed in London [15]	First attempt at international harmonisation
2001	IASB replaces IASC	Independent, funded standard setter
2002	EU regulation, Norwalk, SOX [17][35][34]	EU mandate; US-IASB convergence promise
2007	SEC accepts IFRS from foreign filers [4]	IFRS inside the US market
2009	G20 pledge for global standards [3]	Political backing for convergence
2014–16	IFRS 15, 9 and 16 [38–40]	Joint standards, residual differences
2021–23	ISSB, IFRS S1 and S2 [2][42]	Sustainability joins the system
2024–27	IFRS 18 [12]	New profit or loss structure from 2027

Sources: [2] [3] [4] [12] [15] [17] [34] [35] [38] [39] [40] [42] [65]

Every system separates writing standards, giving them legal force and enforcing them

System	Who writes	Who gives legal force	Who enforces
IFRS (global)	IASB, within the IFRS Foundation	Each jurisdiction decides; the IASB cannot compel use	National regulators; the Monitoring Board oversees the Trustees [14]
United States	FASB, a private body overseen by the FAF [4]	SEC recognises FASB standards as generally accepted [19]	SEC; PCAOB oversees auditors [34]
European Union	IASB writes; EFRAG advises [16]	European Commission endorses under Regulation 1606/2002 [17]	National enforcers, coordinated by ESMA [47]
United Kingdom	IASB writes; UKEB endorses [18]	UK-adopted standards required in UK law [10]	Financial Reporting Council regulates auditors and reporting
India	ICAI recommends; NFRA reviews [45]	MCA notifies under section 133, Companies Act 2013 [45]	SEBI for listed companies; NFRA for auditors [46]

Reading tip: when someone says "we follow IFRS", ask which body gave it legal force and who enforces it.

Sources: [4] [10] [14] [16] [17] [18] [19] [34] [45] [46] [47]

The IFRS Foundation is a private body with public oversight

Monitoring Board [14]

Nine seats: Japan FSA (chair), IOSCO (two), European Commission, US SEC, Brazil CVM, Korea FSC, China MoF, UK FCA. Basel Committee observes.

↓

IFRS Foundation Trustees [2][43]

Not-for-profit, public interest body. Trustees appoint board members through an open process and oversee governance and funding.

↓

IASB	ISSB	IFRIC
IFRS Accounting Standards	Sustainability standards, created 2021	Interpretations of application issues

Independent writing. The IASB is an independent group of experts with practical standard-setting, preparer, auditor or user experience.

No power to compel. Each country decides whether and how far to adopt, so IFRS reaches companies only through national law.

Live issue: funding. In September 2025 the SEC Chair tied a possible review of IFRS relief to stable IASB funding [21].

Sources: [2] [14] [21] [43]

Standards follow public due process, so preparers and users can shape them

1
Identify issue
Requests from investors, preparers, others

2
Set agenda
Board decides whether to take it up

3
Consult
Draft and public comments

4
Issue
Final standard with an effective date

5
Review
Post-implementation review and fixes

What shapes the outcome

Both IFRS boards follow a rigorous, inclusive and transparent due process, overseen by the Foundation's Trustees [2][43].

Preparers, investors, auditors and regulators all comment on drafts, so the final text reflects negotiated trade-offs.

What it means for you

Standards carry an effective date that gives preparers time to get ready, and early adoption is often permitted.

Responding to exposure drafts is a practical way for CFOs to raise problems before a rule is final.

Sources: [2] [43]

Reading a standard: objective, scope, definitions, measurement, disclosure, date

Example: IAS 36 Impairment of Assets

Objective: ensure assets are not carried above what can be recovered from them.

Scope: most assets, with exclusions such as inventories, deferred tax and financial instruments.

Measurement: recoverable amount: the higher of fair value less costs of disposal and value in use.

Recognition and disclosure: loss recognised when carrying amount exceeds recoverable amount; notes explain assumptions.

Effective date and appendices: transition rules, examples and a basis for conclusions that explains the Board's reasoning.

The statements package from 2027 (IFRS 18)

Income statement items fall into operating, investing, financing, income-tax and discontinued categories, with defined subtotals [12].

Management-defined performance measures must be disclosed in one note and reconciled to the nearest defined subtotal [12].

Financial position, changes in equity, cash flows and notes continue alongside the income statement.

Reading rule. Application guidance and examples support each standard, and the dates matter: IAS 1 is replaced by IFRS 18 for years beginning on or after 1 January 2027 [12]. Use the IFRS Foundation list for the current set of standards.

Sources: [12] [51]

IFRS standards you will meet most often, with dates

Standard	Topic	Issued	Effective	Ref.
IFRS 15	Revenue from contracts with customers	May 2014	1 Jan 2018	[38]
IFRS 9	Financial instruments, expected credit losses	Jul 2014	1 Jan 2018	[40]
IFRS 16	Leases: one lessee model	Jan 2016	1 Jan 2019	[39]
IFRS 17	Insurance contracts	May 2017	1 Jan 2023	[41]
IFRS 18	Presentation and disclosure; replaces IAS 1	Apr 2024	1 Jan 2027	[12]
IFRS S1	General sustainability-related disclosures	Jun 2023	1 Jan 2024, where adopted	[42]

Older IASs still apply: IAS 2 Inventories, IAS 16 Property, plant and equipment, IAS 36 Impairment, IAS 38 Intangible assets. IAS 29 requires restatement for price changes where an economy is hyperinflationary.

Dates are IASB dates. Each jurisdiction decides when, and whether, they bind local companies.

Sources: [12] [38] [39] [40] [41] [42]

US: the SEC delegates standard setting to FASB but can direct it

SEC [34]
Created by the 1934 Act. Reviews filings, takes enforcement action, monitors FASB.

↓

Financial Accounting Foundation (FAF) [4]
Private body that oversees FASB.

↓

FASB and the Accounting Standards Codification
Writes US GAAP for public companies, private companies and not-for-profits.

PCAOB [34]
Created by Sarbanes-Oxley (2002) to oversee auditors of public companies.

Five tests FASB passed for SEC recognition in 2003 [19]

1. A private entity.
2. A public-interest board, mostly people not tied to registered accounting firms.
3. Funded as Sarbanes-Oxley requires.
4. Procedures to decide new issues promptly by majority vote.
5. Keeps standards current and considers international convergence.

Domestic public companies must use US GAAP. Foreign private issuers may use IFRS as issued by the IASB [4].

Sources: [4] [19] [34]

FASB's process is open and iterative, and the lease standard shows how long it can take

1. **Issue raised by investors, preparers or others**
2. **Added to the agenda**
3. **Exposure draft and public feedback**
4. **Final standard enters the Codification**
5. **Post-implementation review**

Leases: a timeline

FASB and the IASB listed leases in their 2006 work programme [36]. IFRS 16 followed in January 2016 [39] and ASC 842 in 2016 [67].

The two final standards differ in how operating leases hit the income statement, showing that joint drafting does not guarantee identical outcomes.

Three forces behind every rule

Relevance versus verifiability: useful information has to be checkable.

Cost versus benefit: preparers point to implementation cost; the Board weighs it against better information.

Stakeholder input: preparers, auditors, investors, academics and regulators comment on drafts. The SEC reviews filings, but investors still need to read the notes.

Sources: [36] [39] [67]

EU and UK: IFRS gains legal force only after local endorsement

IASB issues IFRS
Global text, no EU force yet

EFRAG advises [16]
Tests it against the endorsement criteria

EU institutions decide [17]
Commission and member states endorse; Parliament and Council scrutinise

Enforced nationally [47]
National enforcers share cases through ESMA

European Union

Regulation 1606/2002: consolidated accounts of listed companies follow endorsed IFRS from 2005; member states may extend it [17].

The endorsement tests in the Regulation: no conflict with the true-and-fair-view principle, information that is understandable, relevant, reliable and comparable, and consistency with the European public good [17].

United Kingdom since Brexit

UKEB, set up 2021, endorses IFRS as "UK-adopted international accounting standards" [18], required for UK-market groups from 31 Dec 2020 [10].

Two modifications: an IAS 39 portfolio-hedge carve-out and no IFRS 14. FRS 101 and 102 serve non-listed entities [10].

Sources: [10] [16] [17] [18] [47]

India: six bodies share writing, notifying and enforcing

Body	Role in the reporting system
MCA	Ministry of Corporate Affairs notifies Ind AS as Rules under section 133 of the Companies Act, 2013 [45]
ICAI	Recommends accounting standards; issues standards for non-corporate entities [3][45]
NFRA	Constituted 1 Oct 2018, taking over the advisory role of NACAS; recommends standards and can investigate and penalise auditors [45][46]
SEBI	Securities regulator for listed companies; sets the BRSR sustainability reporting framework [33]
RBI	Regulates banks and NBFCs; ECL directions take effect 1 April 2027 [31]
IRDAI	Regulates insurers; plans Ind AS for insurers on a later date [29]

Key point: India has not adopted IFRS as issued. It notifies its own Ind AS, converged with IFRS but carrying carve-outs and carve-ins [3].

Sources: [3] [29] [31] [33] [45] [46]

An Ind AS starts from IFRS, then adds Indian carve-outs and carve-ins

1 · IASB
Issues or amends an IFRS

2 · ICAI
Drafts the Indian version and recommends it

3 · NFRA
Reviews it (NACAS did this before Oct 2018)

4 · MCA
Notifies in the Gazette under section 133

5 · Entities
Apply per the roadmap

What this means

Notified as the Companies (Indian Accounting Standards) Rules, 2015, as amended [45].

Each Ind AS lists its main differences from the matching IFRS in an appendix [3].

Why it matters to a CFO

Auditor reports say compliance with Ind AS, not IFRS, so an Indian company cannot claim IFRS compliance [3].

Dual reporting is allowed but unlikely. A foreign parent usually needs IFRS reconciliation.

Sources: [3] [45]

Ind AS applies in phases by listing, net worth and sector

Phase	From	Who must apply Ind AS [3]
Phase I	FY 2016–17	Listed or soon-to-list companies, and unlisted companies with net worth of at least ₹500 crore, plus their group companies
Phase II	FY 2017–18	All other listed companies, and unlisted companies with net worth of at least ₹250 crore
NBFC III	FY 2018–19	NBFCs on the ₹500 crore tier, as in Phase I
NBFC IV	FY 2019–20	Unlisted NBFCs at ₹250 crore and remaining listed NBFCs
Banks, insurers	Later	Sector regulators set dates (next slide)

Details. The roadmap covers both consolidated and separate statements. Other companies may adopt voluntarily; the 2014 ICAI proposal had been consolidated-only for the ₹500 crore tier [37].

Verify before use: the IFRS Foundation profile is dated 11 October 2019. Confirm current thresholds in the Companies (Indian Accounting Standards) Rules.

Sources: [3] [37]

Banks and insurers move to IFRS-style accounting on regulators' timetables

Banks (RBI)

Ind AS does not yet apply to banks [3]. Full IFRS-based implementation was deferred indefinitely in 2019, and RBI now moves step by step [30].

1 Oct 2025: RBI proposes expected credit loss provisioning, with a glide path to 31 March 2031 [30].

April 2026: final directions, effective **1 April 2027**, using a three-stage model drawn from IFRS 9 [31].

Expect a one-time provisioning rise, moderated by phasing.

Insurers (IRDAI)

12 Aug 2024: MCA notifies Ind AS 117 Insurance Contracts, the counterpart of IFRS 17 [28].

IRDAI required 15 insurers with foreign partners to adopt Ind AS from 1 April 2024 and planned wider adoption from **1 April 2027**, after proforma statements [29].

Open items then: standalone versus consolidated proforma, and the comparative period.

Verify before use: the insurer timeline comes from a December 2024 source. Check IRDAI and MCA for later circulars.

Sources: [3] [28] [29] [30] [31]

Three frameworks, three design choices

	IFRS	US GAAP	Ind AS
Purpose	Common language for global capital markets, aimed at investors	Useful information for investors in US capital markets	IFRS-converged reporting for Indian companies under company law
Setter	IASB (IFRS Foundation)	FASB, recognised by the SEC [19]	ICAI recommends; NFRA reviews; MCA notifies [45]
Legal force	Only through national adoption	Required for US domestic issuers [4]	Companies Act 2013, section 133 Rules [45]
Style	Principles with more judgment, for example development costs capitalised once criteria are met [52]	Detailed Codification with many specific rules	IFRS text with Indian carve-outs and carve-ins [3]
Reach	Required in more than 140 jurisdictions [2]	Home market plus US-listed groups that choose it	Companies under the Ind AS roadmap [3]

One-line summary: IFRS is a global baseline, US GAAP is a national codification with global reach, Ind AS is IFRS adapted by statute.

Sources: [2] [3] [4] [19] [45] [52]

S4 · COMPARISON

Both frameworks seek useful information, but their conceptual frameworks never merged

Two frameworks, one aim

IASB: the Conceptual Framework was revised in March 2018 and guides how the IASB writes standards [66].

US: FASB Concepts Statement 8 sets the objective and qualities of useful information [53]. A joint framework project did not produce one common document.

Now: two separate documents guide two boards, so the same transaction can face different tests.

Why it matters

Without a shared framework, setters make different calls on the same economics. Example: the IASB's 2018 framework restored prudence as support for neutrality [66]; Concepts Statement 8 does not use it as a quality [53].

The result is predictable differences you can adjust for, as on the next slides.

Reliability-relevance scale: Ford and Volkswagen on R&D, and digital-asset accounting



Sources: [48] [52] [53] [61] [62] [66]

Assets and expenses: five differences that move profit

Area	IFRS	US GAAP	What it does to analysis
Inventory costing	LIFO prohibited [26]	LIFO permitted [26]	Adjust US LIFO users using the LIFO reserve
Inventory write-downs	Reversed if value recovers, up to cost [26]	Not reversed [26]	IFRS profit can rebound after a downturn
Development costs	Capitalised once criteria are met [52]	R&D generally expensed	IFRS shows higher assets and early profit. Volkswagen's 2024 capitalised additions exceeded amortisation [61]
Property, plant, equipment	Cost or revaluation by class [49]	Revaluation not allowed [49]	IFRS book values can track market values
Impairment reversal	Allowed, except goodwill [51]	Generally not allowed	Recoveries flow to IFRS earnings

Direction of bias. IFRS gives more relevance and more discretion. US GAAP gives more reliability and fewer choices.

Sources: [26] [49] [51] [52] [61]

Leases, equity stakes and crypto: where jointly written or recent rules diverge

Leases

Both put most leases on the balance sheet. IFRS 16 splits the cost into depreciation and interest; US GAAP keeps a single operating-lease cost for operating leases [39][67].

Variable payments not tied to an index or rate stay off the balance sheet, so some lease costs remain in the income statement.

Minority equity stakes

US GAAP now sends fair-value changes on most equity investments through net income [67].

IFRS 9 lets a company elect OCI for equity stakes not held for trading [40]. The boards did not align.

Credit losses and crypto

Loan losses: US CECL gives managers more discretion, while IFRS 9 uses staged expected losses [40].

Crypto: US GAAP, fair value through profit or loss (ASU 2023-08, annual periods beginning after 15 December 2024). IFRS: usually an intangible at cost [48]. Tesla's Q1 2024 10-Q showed digital assets carried at $184m against fair value of $821m [57].

Analyst effect (IndiGo, Ind AS 116): on adoption, lease liability was about ₹17,464 crore against a right-of-use asset of ₹13,282 crore; lease cost moved out of operating expense and lease payments into financing cash flow [58]. Rework leverage and EBITDA ratios.

Sources: [39] [40] [48] [57] [58] [67]

Six Ind AS carve-outs that change reported numbers

Ind AS	Departure from IFRS [25]	Effect to watch
1	A loan stays non-current if the lender waives a covenant breach before accounts are approved	Debt may be non-current where IAS 1 says current
40	Investment property: cost model only, no fair value model	No fair value gains in profit
103	Bargain-purchase gain goes to capital reserve; common-control combinations covered by Appendix C	Profit and deal structuring differ from IFRS 3
27	Equity-method option removed in separate statements	Separate statements use cost or fair value
32	Foreign-currency convertible bonds with fixed shares and price classed as equity	Less profit volatility from share-price moves
19	Post-employment discount rate based on government bond yields	Liability and cost sensitivity differ

Also: Ind AS 7 fixes cash-flow classification of interest and dividends; Ind AS 16 deducts test-run proceeds from asset cost; Ind AS 1 allows only the single-statement format and classifies expenses by nature.

Compilation reflects IFRS as at 1 Jan 2022 and Ind AS as at 1 Apr 2022. Check later MCA amendments.

Sources: [25] [27]

Non-GAAP numbers fill the gaps; IFRS 18 starts to regulate them from 2027

IFRS 18 [12]

Replaces IAS 1 for years beginning on or after 1 January 2027.

Two new defined subtotals: operating profit, and profit before financing and income taxes.

Management-defined performance measures must be disclosed and explained.

New rules on grouping and splitting items.

Why it matters

In the US, Regulation G and Item 10(e) of Regulation S-K require non-GAAP measures to be reconciled to the nearest GAAP figure and not given undue prominence [54].

SEC staff guidance treats excluding normal, recurring operating costs as potentially misleading [54].

Good practice: show the adjusted figure next to the nearest IFRS or GAAP measure, with each adjustment itemised.

Test for any adjusted number: is the item truly non-recurring, is it reconciled to GAAP or IFRS, and are the assumptions disclosed? Credible managers supply the data to check them.

Sources: [12] [54]

Convergence worked on principles and stopped where interests collided

Joint project	What converged	What still differs	Why
Revenue (IFRS 15, ASC 606)	One five-step model replacing scattered industry rules [38]	Collectability threshold is worded differently: 'probable' is a lower bar under IFRS than under US GAAP	Each board kept its own existing meaning of 'probable'
Leases (IFRS 16, ASC 842)	Most leases come on the lessee's balance sheet [39]	Income-statement pattern: IFRS 16 has one model, ASC 842 keeps operating and finance leases	The boards could not agree one expense model
Financial instruments	Joint work on classification and loss models began after 2008	US: equity fair-value changes through profit, CECL loss model. IFRS 9: OCI election, three-stage loss model [40][67]	The boards reached different views on model design

Lesson

Joint writing does not guarantee identical numbers: lobbying, cost and local priorities reshape the details.

Investor consequence

Differences persist, so investors seeking global opportunities still need to recast statements prepared under different standards.

Sources: [38] [39] [40] [67]

An analyst's checklist for comparing companies across frameworks

1 · Find the framework
Read the audit report: IFRS, UK-adopted, US GAAP, Ind AS or another set.

2 · Inventory
Add back the LIFO reserve for US peers; note IFRS write-down reversals.

3 · R&D and intangibles
Put development costs on one basis, as for Volkswagen (IFRS) against Ford (US GAAP).

4 · Leases and leverage
Include lease liabilities; test variable leases and the operating-lease expense pattern.

5 · Fair value items
Check where equity-stake and crypto gains sit: net income, OCI or not at all.

6 · Revalued assets
Spot revalued property or fair-valued investment property that inflates book value.

7 · Adjusted earnings
Reconcile non-GAAP to GAAP and question recurring exclusions.

8 · Debt and covenants
For Indian borrowers, check covenant-waiver classification under the Ind AS 1 carve-out.

Applies sources [25] [26] [49] [52] [61] [62]

Four routes: adopt, endorse, adapt or retain, and the label can mislead

Adopt

Use the IASB text as issued. Usually only large listed companies are covered.

Examples: Brazil, Australia, Canada

Endorse

A local body examines each standard. It may add disclosures or change requirements.

Examples: EU, UK

Adapt or converge

IFRS is the base, with local adjustments for local needs.

Examples: India (Ind AS), China (ASBE), Japan (JMIS)

Retain

Keep a national standard setter. IFRS may still be admitted for foreign issuers.

Example: United States

Read the label with care. The IFRS Foundation reports IFRS required in more than 140 jurisdictions [1], but the jurisdiction profiles show who must comply: usually domestic listed companies, with smaller ones on national rules or IFRS for SMEs.

Why it matters: the country decides whether to adopt completely or in part, and for which types of company. Always ask which route, and for whom.

Sources: [1] [3] [4] [5] [6] [7] [8] [9] [10]

Nine jurisdictions at a glance

Jurisdiction	Route	What domestic listed companies use
European Union	Endorse	IFRS as endorsed by the EU, in consolidated accounts of listed groups [17]
United Kingdom	Endorse	UK-adopted international standards, required for UK-market groups from 31 Dec 2020 [10]
India	Adapt	Ind AS, converged with IFRS but with carve-outs [3]
China	Converge	ASBE, "substantially converged" with IFRS. Hong Kong listings may choose IFRS [5]
Japan	Mixed	J-GAAP, with voluntary IFRS, modified IFRS (JMIS) or US GAAP as options [6]
Canada	Adopt	IFRS for publicly accountable entities. SEC issuers may use US GAAP [7]
Brazil	Adopt, modified	IFRS required, with some IAS options removed [8]
Australia	Adopt	AASB standards based on IFRS since 2005 [9]
United States	Retain	US GAAP. Foreign private issuers may use IASB IFRS [4]

Vintage warning: IFRS Foundation profiles differ in age. Australia 2017, China 2018, India 2019, Japan 2020, Canada 2023, Brazil 2026. Older profiles are a starting point only.

Sources: [3] [4] [5] [6] [7] [8] [9] [10] [17]

Adopters still shape the detail: modifications, tiers and exits

Brazil [8]

IFRS required for all domestic public companies, consolidated and separate. Foreign companies with traded securities too.

Removes IAS 16 and IAS 38 revaluation options and the IAS 27 cost or fair value options.

Bank separate statements follow Central Bank rules.

Profile updated May 2026.

Australia [9]

IFRS-based standards since 2005, written by the AASB under the Corporations Act 2001.

Modified for public-sector and not-for-profit needs; Tier 1 and reduced-disclosure Tier 2.

Foreign listed companies may use home rules if ASX accepts them.

Profile dated June 2017.

Canada [7]

IFRS required for publicly accountable entities.

Domestic SEC issuers may use US GAAP. Rate-regulated companies may too, until 1 Jan 2027.

IFRS for SMEs not adopted; private enterprises have their own framework or may choose IFRS.

Profile updated Oct 2023.

Takeaway: "adopted" rarely means "identical". Check which options are deleted, which entities are covered, and which issuers may use another framework.

Sources: [7] [8] [9]

Endorsement is a gate: it adds control and a time lag

What the gate does

Each IFRS is examined against local criteria before it binds companies.

The country may require added disclosures or change requirements.

The IASB effective date and the local legal date can differ.

European Union

EFRAG advises on each standard [16].

Regulation 1606/2002 requires endorsed IFRS in listed groups' consolidated accounts [17].

Tests: true and fair view, understandable, relevant, reliable and comparable information, European public good.

Sustainability reporting rules were scaled back in the 2026 Omnibus package [23].

United Kingdom

UKEB endorses IFRS as UK-adopted international standards [18].

Two modifications: an IAS 39 portfolio-hedge carve-out and no IFRS 14 [10].

FRS 101 and 102 serve non-listed entities [10].

The UK has built its own superstructure on the international base.

CFO implication: plan on the local endorsement date, not the IASB date. Early adoption is possible only where the local body has endorsed the standard.

Sources: [10] [16] [17] [18] [23]

India and China converge with IFRS, but quality depends on enforcement

India [3]

MCA notifies Ind AS. India chose convergence, not full adoption [37].

Carve-outs and carve-ins remain [25].

Banks and NBFCs: expected credit loss directions take effect 1 April 2027 [31].

Insurers: Ind AS planned for a later date [29].

China [5]

Domestic listed companies must use ASBE, not IFRS. ASBE is "substantially converged".

Mainland firms listed in Hong Kong may report under HKFRS, IFRS or ASBE.

Dec 2025 climate standard was informed by IFRS S2 and is voluntary until its scope is set [32].

Profile dated Jan 2018.

What research found: in 21 countries, gains in market liquidity after IFRS adoption appeared only where enforcement changed at the same time (Christensen, Hail and Leuz, 2013) [64]. Same label, different quality.

Sources: [3] [5] [25] [29] [31] [32] [37] [64]

Japan: a voluntary path put half of market value on IFRS

Four frameworks, one choice [6]

J-GAAP: set by the ASBJ; the historic default.

IFRS (voluntary): allowed since March 2010 for consolidated statements.

JMIS: modified IFRS since 30 June 2015, with ASBJ changes such as goodwill amortisation and recycling of OCI.

US GAAP: with FSA Commissioner permission.

IFRS use, Japan, July 2026 [11]

Share of total listed market capitalisation



JPY 708 trillion of JPY 1,384 trillion (51.2%)

Share of Prime Market capitalisation



250 Prime companies, 52.6% of JPY 1,343 trillion

318 companies apply or plan IFRS: 297 adopted, 20 decided, 1 planned. Another 81 are considering it.

Lesson: a voluntary route, backed by regulator criteria and exchange promotion, brought IFRS to about half of Japan's listed market value without a mandate. Large multinationals led.

Sources: [6] [11]

United States: US GAAP at home, IFRS for foreign issuers, now under review

Today's rule [4]

Domestic public companies must use US GAAP.

Foreign private issuers may file IFRS as issued by the IASB, with no reconciliation to US GAAP, since 2007.

SEC recognition of FASB rests on the 2003 policy statement [19].

September 2025 warning [21]

SEC Chair Atkins, speaking at an OECD roundtable in Paris on 10 September 2025, said the SEC might review the 2007 decision.

The 2007 premise: an IASB with stable funding and independence. He said funding should prioritise the IASB over sustainability work.

If the premise fails, the reconciliation requirement could return.

Status check: in the sources reviewed, this was a warning and a possible review, not a final rule change. Confirm the latest SEC action before relying on it. See the caveats slide.

Why it matters for managers: IFRS filers on US exchanges, and Indian companies with US listings, could face reconciliation costs if the exemption is withdrawn.

Sources: [4] [19] [21]

Scorecard: six tests for any country's claim to use IFRS

Test	What to check	Example
1 · Who decides?	IASB text binds directly, or a local body gates it	Brazil and Australia adopt; EU and UK endorse
2 · Which entities?	Listed groups only, or separate statements and SMEs too	EU: consolidated accounts; Brazil: also separate statements
3 · What is changed?	Deleted options, added disclosures, carve-outs	Brazil revaluation options; Ind AS carve-outs; JMIS
4 · Which exits exist?	Another framework for some issuers	Canada SEC issuers; Japan US GAAP; Hong Kong choice
5 · How current?	Age of the profile and pending changes	Australia 2017, China 2018, Brazil 2026
6 · Is enforcement strong?	Benefits appear where enforcement and reporting incentives are strong	Daske et al. (2008) on mandatory IFRS adoption [24]

Use this scorecard on any "we follow IFRS" claim before comparing companies across borders.

Sources: [24]; other points from the profiles on slide 38

Economic motive: cheaper to compare, cheaper to fund

Investors

Investors who hold foreign shares want statements that are comparable across borders.

Rule differences, such as development costs, make Volkswagen (IFRS) hard to compare with Ford (US GAAP) [61][62].

Companies

Firms competing with international rivals must explain their performance under different rules.

Multinationals and cross-listed issuers save effort with one reporting language.

Capital markets [24]

Mandatory IFRS adoption brought market benefits such as better liquidity and a lower cost of capital.

Benefits were strongest where enforcement was strong; liquidity gains faded where enforcement did not change [64].

Standard setters

The FASB and IASB agreed in 2002 to work towards compatible standards [35], and wrote revenue and lease rules together.

Even so, differences persist in the jointly written rules.

Logic: one language lowers the cost of comparing and trusting foreign firms, and so lowers what they pay for capital. The gain depends on enforcement.

Sources: [24] [35] [61] [62] [64]

Regulatory motive: integrate markets, rebuild trust, supervise across borders

One market

EU Regulation 1606/2002 put listed groups on one set of endorsed IFRS from 2005 [17].

Trust after scandals

Sarbanes-Oxley (2002) created the PCAOB [34].

After the 2008 crisis, the boards sped up joint work on financial instruments.

Cross-border supervision

The IOSCO Monitoring Board oversees the IFRS Foundation [14].

National enforcers share cases through ESMA [47].

Access to capital

The SEC lets foreign issuers file IFRS without reconciliation [4].

Hong Kong lets Chinese firms choose [5]; Japan set criteria for voluntary IFRS [6].

Regulators want comparable, enforceable information more than identical rules. That is why most keep a local gate, filter or enforcer.

Sources: [4] [5] [6] [14] [17] [34] [47]

Why some retain or modify: users, law, cost and unproven gains

Reason	Evidence
Different users and needs	International standards were not adopted by all countries because the intended recipients and the information they need differ
Law, tax and politics	Financial statements are shaped by political, legislative and tax pressures, so rules diverge
Cost	Keeping a second set of books for IFRS costs money in systems, training and audit, so many countries limit IFRS to listed companies [1]
Unproven quality gain	Evidence is mixed: IAS-using firms in 21 countries showed less earnings management [63], but liquidity gains appeared only where enforcement also changed [64]
Local control of detail	The country decides whether to adopt fully or in part; the UK built its own superstructure; India keeps carve-outs [3]
Sector gaps	SEC staff noted gaps in extractive, insurance and rate-regulated accounting [20]

Sources: [1] [3] [20] [63] [64]

Why the US keeps US GAAP: independence, funding, sector gaps and cost of change

Reasons staff and regulators gave

Independence and funding: the IFRS Foundation cannot compel funding, and reliance on voluntary contributions was a concern [20].

Sector gaps: extractive, insurance and rate-regulated activities [20].

Investors: knowledge of IFRS varies, and they wanted clarity on transition [20].

Method: direct designation of IASB standards lacked majority support; an endorsement route kept influence [20].

What the US did instead

Recognised FASB under five tests in 2003 [19].

Converged on revenue and leases, yet differences remain.

Admitted IFRS for foreign issuers in 2007 [4].

In 2012 the staff report made no recommendation to move US issuers to IFRS [20].

Pattern: the SEC chose to recognise FASB and open a path for foreign issuers, rather than adopt IFRS for US companies. The 2025 funding remarks show the same concerns still shape policy [21].

Sources: [4] [19] [20] [21]

Two decades of US-IFRS steps: convergence, acceptance, then hesitation

2002
Norwalk Agreement
[35]

2003
SEC recognises FASB
[19]

2006
FASB-IASB MoU
[36]

2007
Foreign issuers file IFRS, no reconciliation
[4]

2012
Staff report, no recommendation
[20]

2025
Chair Atkins warns of review
[21]

Phase 1: converge

2002 to 2006: both boards promise compatible standards and set joint projects.

Phase 2: accept

2007: IFRS filings by foreign issuers accepted without reconciliation.

Phase 3: hesitate

2012 onward: no move for US issuers; 2025 warning that the 2007 decision may be reviewed.

Pattern: the US moved with the world while it could keep control, and stepped back when control or funding was in doubt.

Sources: [4] [19] [20] [21] [35] [36]

Benefits of internationalizing: comparability, cheaper capital, mobility

Comparability

Investors can compare firms across borders on a common base.

Capital-market gains [24]

Better liquidity and lower cost of capital, where enforcement is strong.

Easier cross-border capital

Foreign issuers can raise money in other markets without full restatement, as in the US since 2007 [4].

Group reporting

Multinationals consolidate subsidiaries under one language.

Mobility of skills

Accountants, auditors and analysts apply one core framework across countries.

Joint standard-setting

Revenue and leases were written together, bringing the two largest systems closer.

Benefits are real but conditional: they depend on enforcement, firm incentives and how faithfully the standards are applied.

Sources: [4] [24]

Limitations: a basic framework, not a single set of numbers

Limitation	Evidence
Only a basic framework	International accounting is established, but countries add their own superstructure, as the UK has done; differences remain
Joint rules still differ	IFRS 16 and ASC 842 treat operating-lease expense differently; US GAAP forces equity gains into profit, IFRS does not
Labels overstate use	"Jurisdiction uses IFRS" usually means only major listed companies; modifications such as Brazil's or the Ind AS carve-outs change numbers [8] [25]
Quality gains not guaranteed	Gains depend on enforcement: liquidity improved only where enforcement also changed [64]
Presentation stays inconsistent	Investors found profit presentation inconsistent even under IFRS, which is why IFRS 18 was issued [12]
The US remains outside	The US keeps its own standards, so global use is incomplete

Sources: [8] [12] [25] [64]

Implementation challenges are people, systems and contracts as much as rules

Judgment-heavy rules

Principles-based standards need estimates and interpretation, which raises audit and enforcement demands.

Skills and training

Preparers, auditors, boards and regulators all need new knowledge. Capacity varies by country.

Systems and data

New measurement models, such as expected credit losses and lease accounting, need new data and controls.

Contracts and covenants

IndiGo reported a lease liability of about ₹17,464 crore on adopting Ind AS 116 [58]. Loan terms may need renegotiation.

Law and tax links

National tax and company law may tie to local accounting, so transition affects more than reporting.

Timing and first-time adoption

IFRS 1 governs first adoption. Year-ends differ, so a standard may bite in different fiscal years.

Practical rule: start with a contract and KPI impact review before the accounting is final, so surprises do not reach investors first.

Sources: [58]

For investment managers: recast, test and price the differences

Recast before you compare

Put development costs, inventory and lease obligations on one basis, as for Volkswagen (IFRS) against Ford (US GAAP) [61][62].

Watch leverage and returns

Lease adoption moved IndiGo's liabilities and cost lines [58]. Multiples and covenants move too.

Test earnings quality

Question recurring exclusions from adjusted profit, and ask for the reconciliation [54].

Weight by enforcement

Capital-market gains from IFRS appeared where enforcement was strong [24].

Know the regime and its date

Check the framework, local modifications and profile age before using a peer set [3] [8].

Calendar the changes

IFRS 18 starts for years from 1 Jan 2027 [12]; the SEC may revisit foreign-issuer IFRS filings [21].

Sources: [3] [8] [12] [21] [24] [54] [58] [61] [62]

For CFOs: choose frameworks deliberately and explain the differences

Framework and venue

The listing venue and investor base often set which framework is practical; plan reconciliations early.

Voluntary comparability

Some firms add disclosures to improve comparability across standards, as many multinationals do in their annual reports.

Govern adjusted numbers

Reconcile non-GAAP to GAAP and apply IFRS 18 management-performance-measure rules from 2027 [12].

Engage standard setters

Stakeholders regularly shape standards, so comment letters and industry views matter.

Prepare the organisation

Systems, controls, audit-committee oversight and training before the effective date.

Manage the signal

Brief lenders and analysts on mechanical changes, such as lease liabilities, before results.

Sources: [12]

For Indian managers: Ind AS is not IFRS, and several changes are coming

Know the gap

Ind AS is converged with IFRS but has carve-outs [25]. Statements under Ind AS are not automatically IFRS-compliant.

For a US listing, the SEC accepts IFRS as issued by the IASB [4], not a locally modified version.

Dates to track

Banks and NBFCs: ECL directions from 1 April 2027 [31].

Insurers: Ind AS 117, the IFRS 17 counterpart [28]; IRDAI timetable to be confirmed [29].

Sustainability: SEBI's BRSR [33]; NFRA oversees audit quality [46].

Questions for your CFO or audit committee: which carve-outs affect our numbers? How would an IFRS-based investor read our covenants, investment property and bargain-purchase gains?

Sources: [4] [25] [28] [29] [31] [33] [46]

The ISSB is repeating the IFRS story for sustainability reporting

What exists

IFRS S1: general sustainability-related disclosure requirements, issued June 2023 [42].

IFRS S2: climate-related disclosures, issued alongside S1.

Effective from 1 January 2024 where a jurisdiction adopts them [42].

How far it has spread

ISSB Standards are adopted or used in 40+ jurisdictions, according to the IFRS Foundation in August 2026 [44].

The 2026 World Standard-setters Conference (London, 29 September) held a plenary on jurisdictional adoption [13].

Same pattern as IFRS

A global baseline issued by an international board.

Each country decides whether, when and how to adopt.

Local additions and delays follow.

Link to financial reporting: sustainability information is meant to be connected to the financial statements of the same company. CFOs will own both sets of numbers.

Sources: [13] [42] [44]

Three national paths to sustainability reporting

Jurisdiction	Path	What to note
China	Own standard, informed by IFRS S2	Climate standard issued Dec 2025 by the Ministry of Finance with eight other bodies. Aims at functionally equivalent results; voluntary until the scope and timeline are set [32]
India	SEBI's BRSR framework	Business Responsibility and Sustainability Reporting for listed companies; check current scope and assurance rules [33]
European Union	Own ESRS-based regime	Scaled back and simplified through the Omnibus package [23]
40+ jurisdictions	Adopting or using ISSB Standards	Figure reported by the IFRS Foundation in July and August 2026 [44]

Pattern for students: the accounting history repeats: global text, then adopt, endorse or adapt. Expect uneven timing and local differences again.

Sources: [23] [32] [33] [44]

Sustainability readiness checklist for finance leaders

1 · Governance

Name an owner across finance and sustainability; brief the audit committee.

2 · Data

Build controlled, auditable data for emissions, energy and climate risk.

3 · Connectivity

Reconcile sustainability assumptions with financial-statement estimates.

4 · Jurisdiction map

List each subsidiary's local rules: ISSB-based, ESRS, BRSR or home standard.

5 · Assurance

Plan evidence and controls for external assurance, where required.

6 · Timeline

Track local effective dates; many are voluntary or under review.

Bottom line: treat sustainability reporting as the next framework to internationalize, with the same adopt-or-adapt questions.

Based on sources [32] [33] [42] [44]

Volkswagen and Ford: similar cars, different R&D rules

Volkswagen (IFRS)

Capitalises development costs that meet the IAS 38 criteria [52].

In 2024, capitalised development additions exceeded amortisation, and group intangibles stood at €93,333m [61].

R&D was 7.9% of automotive sales in 2024 [61].

Ford (US GAAP)

Reports under US GAAP, where R&D is generally expensed as incurred [62].

Same kind of spending, so more cost reaches profit earlier.

An analyst comparing the two must restate one of them.

Key trade-off: capitalising development cost is more relevant if future benefits are real, but less reliable because they depend on estimates and management judgment. Expensing is easier to verify but may omit value.

Sources: [52] [61] [62]

IndiGo: a new lease standard put a large liability on the balance sheet

Ind AS 116 on adoption, ₹ crore [58]



What changed

Lease cost moves out of operating expense into depreciation and interest [58].

Lease payments move to financing cash flow.

Operating profit and EBITDA rise; leverage ratios worsen.

Why it matters

A lease commits the company to future payments, which is a liability.

Keeping it off balance sheet reduces comparability.

No cash changed; the ratios and covenants did.

Sources: [58]

Fair value and adjusted earnings: three snapshots

Tesla: digital assets

Q1 2024 10-Q: digital assets carried at $184m, against fair value of $821m [57].

US GAAP moved to fair value through profit or loss for annual periods beginning after 15 December 2024 [48].

IFRS usually keeps cost less impairment [48].

Equity stakes

US GAAP: fair-value changes on most equity investments go through net income [67].

IFRS 9 and Ind AS 109: an election lets some equity gains and losses go to OCI [40].

Same portfolio, different profit volatility.

Adjusted profit

The SEC requires non-GAAP measures to be reconciled to GAAP [54].

Staff guidance warns that excluding normal recurring costs may mislead [54].

IFRS 18 adds rules for management-defined measures from 2027 [12].

Lesson: the same economics can read as a loss, a gain or a profit depending on the standard, the measurement choice and the adjustments management adds back.

Sources: [12] [40] [48] [54] [57] [67]

Discussion: you are the fund manager, then the CFO

1 **Volkswagen against Ford**
You hold both. Which adjustments put their development costs on one basis, and what would you ask each CFO for?

2 **IndiGo as CFO**
You will adopt a new lease standard next quarter. Which lenders, covenants and KPIs do you brief first, and what do you say?

3 **Wipro and Tata Motors**
Indian companies filed in the US under different rule sets. Which gaps still exist today, and which have closed?

4 **Your own company**
If your employer reports under Ind AS and sold abroad, which three carve-outs matter most to a foreign investor?

Based on slides 8, 33 and 35

Eight takeaways to carry out of the room

1

Reported numbers rest on estimates and choices. Standards manage the trade-offs.

2

Internationalization moved from IASC to IASB, endorsement and convergence.

3

The IFRS Foundation writes; each jurisdiction decides what binds.

4

IFRS, US GAAP and Ind AS differ in details that change profit and leverage.

5

Adopt, endorse, converge and retain are different routes; read the label with care.

6

Motives are economic and regulatory; resistance reflects law, cost and control.

7

Benefits depend on enforcement; differences persist even in joint standards.

8

The ISSB is the next test of the same adoption pattern.

One-line summary: a global language exists, but dialects, enforcement and national interests still decide what the numbers mean.

What to verify before you rely on this deck

Item	Status at 9 Oct 2026	Action
SEC and IFRS filers	Sept 2025 warning reported [21]; no final change found in sources checked	Check latest SEC action
US GAAP impairment reversal	Slide 31 states a US GAAP/IFRS difference from general knowledge; not re-checked against a current source	Confirm in ASC 360 and IAS 36 [51]
Ind AS carve-outs	Compilation dated c. 2022 [25]; later MCA amendments possible, including Ind AS 16	Check current MCA notifications
IRDAI timetable	Insurer Ind AS date still planned, not confirmed [29]	Check IRDAI circulars
India applicability thresholds	Not stated on slides; thresholds have changed over time	Check MCA rules
UK FRC and EU Accounting Regulatory Committee	Roles described only at a high level; not verified in detail	Check FRC and EC sources
Old profiles	Australia 2017, China 2018, India 2019, Japan 2020 [3] [5] [6] [9]	Use as background only
China climate scope	Voluntary until scope is set [32]	Check MoF notices
Substitute examples	IndiGo figures come from a secondary report [58]; Tesla, Wipro, Tata Motors, Volkswagen and Ford from filings [57] [59] [60] [61] [62]; Ford R&D treatment is the general US GAAP rule	Check against the primary filings
Framework and law points	UK company-law dates [65], the 2018 prudence point [66] [53] and academic citations [55] [56] [63] [64] [68] were not re-opened	Check before quoting

Links for references 25, 27, 30, 33, 37, 45 to 50 and 53 to 68 were not all re-opened for this build: check titles before sharing.

See the reference list on the next three slides

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